EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Alcala was established as a regular municipality by virtue of Royal Decree dated July 20, 1787 by the then Spanish Governor General of the Philippines in honor of its founder, Captain General Don Francisco Paulo de Alcala. It has twenty five (25) Barangays and classified as a third (3rd) class Municipality.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Alcala, Cagayan for CY 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Alcala, Cagayan for the year ended December 31, 2018, with comparative figures for CY 2017, are as follows:

Particulars	2018	2017	Increase (Decrease)
Financial Condition			
Total Assets	P275,238,180.98	P 202,404,600.88	P 72,833,580.10
Total Liabilities	94,221,957.21	53,979,241.32	40,242,715.89
Total Government Equity	181,016,223.77	148,425,359.56	32,590,864.21
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	124,638,837.67	115,719,714.68	8,919,122.99
Total Expenses (Includes	107,343,921.22	108,339,182.79	(995,261.57)

Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations			
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	P139,073,265.84	P128,616,980.04	P10,456,285.80
Appropriations-Continuing	34,032,887.48	31,195,505.54	2,837,781.94
Allotments – Current	139,073,265.84	P128,616,980.04	10,456,285.80
Allotments –Continuing	34,032,887.48	31,195,505.54	2,837,781.94
Obligations – Current	101,724,726,81	99,352,996.17	2,371,730.64
Obligations -Continuing	13,325,045.05	14,617,876.00	(1,292,830.95)
	2018	**2017**	**Increase (Decrease)**
Funds Received from Other Agencies			
NGAs	P88,995,684.25	P21,781,449.73	P67,214,234.52
LGUs	-	-	-
NGO/POs	-	-	-
Others	-	-	-
Total	**P88,995,684.25**	**P21,781,449.73**	**P67,214,234.52**
Funds Transferred to Other Agencies			
NGAs	P -	P -	P -
LGUs	-	-	-
NGO/POs	-	-	-
Others	10,000,000.00	-	10,000,000.00
Total	**P 10,000,000.00**	**P -**	**P 10,000,000.00**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Alcala for the year-ended December 31, 2018 due to the following:

1. The reliability and existence of Property, Plant and Equipment (PPE) account, with a carrying amount of P97,713,953.00, could not be ascertained due to the following: (a) non-conduct of physical count of majority of its PPE accounts; (b) incomplete details of Report on Physical Count of Property, Plant and Equipment (RPCPPE); (c) failure of the Accounting Office and General Services Office to maintain PPE Ledger Cards and Property Cards, respectively; (d) unreconciled balances between the financial statements and RPCPPE by P1,133,111.86; and (e) unreconciled balances between Statement of Financial Position and PPE Subsidiary Ledger by P1,327,882.41.

2. The reliability of Cash in Bank-Local Currency account totaling P97,642,266.55 could not be ascertained due to the (a) unreconciled balances between the Statement of Financial Position and Bank Reconciliation Statements by P677,340.86; (b) closed bank account was still included in the

total Cash in Bank account; and (c) total monthly check disbursements were not reconciled between the Report of Checks Issued (RCI) and Check Disbursement Journal (CKDJ).

3. The reliability of Cash-Local Treasury account amounting to P1,642,867.31 could not be ascertained due to the unreconciled balances between the Statement of Financial Position and Report on Collections and Deposits by P1,270,385.91.

4. Cash advances, with a total accumulated balance of P13,337,125.23, were not liquidated at year-end or immediately as soon as the purpose for which it was granted has been served, which is inconsistent with Section 89 of Presidential Decree (PD) No. 1445 and Item 5.8 of COA Circular No. 97-002, thereby, affecting the reliability of the assets, expenses and government equity accounts.

D. Summary of Significant Observations and Recommendations:

The following are the Audit Team's significant audit observations and recommendations, which were discussed with the concerned Management Officials in an exit conference conducted on April 15, 2019:

1. The existence, reliability and accuracy of Local Road Networks, with a carrying amount of P299,150.45, could not be ascertained due to the following: (a) the non-conduct of physical count of its Local Road Networks as of December 31, 2018; (b) the components of each local road, including its cost and description were not properly identified, segregated and recognized; and (c) reports required under COA Circular 2015-008 to support the Local Road Networks were not prepared, kept and maintained. Thus, inconsistent with the provisions of COA Circular 2015-008.

   We recommended that the Local Chief Executive enjoin the responsible officials to comply with the accounting and reporting requirements of COA Circular 2015-008 for the fair presentation of the Local Road Network account in the financial statements.

2. The validity and propriety of the balance of Accounts Payable account in the General and Special Educations Funds totaling to P2,494,911.54, could not be ascertained due to the non-submission of supporting documents establishing the said claims with the LGU.

   We recommended that the Municipal Accountant ensure that Accounts Payable are supported with complete documentation, properly certified/approved by concerned Heads of Offices and other sufficient documentary evidence to show that the subject goods/services were already delivered/rendered to qualify as valid claims against the LGU. Moreover, we

recommended that the Municipal Accountant support the settlement of Accounts Payable in the amount of P1,126,594.49 and thereafter, adjust in the books the accounts that are already settled/paid.

3. The reliability of the "Other Receivables" account amounting to P3,464,393.25, representing unpaid water bills from the Alcala Municipal Water System (AMWS) could not be ascertained due to the unreconciled balance between the Accounting and AMWS records by P2,478,323.22, which is not in consonance with Par. 27 of International Public Sector Accounting Standards I. In addition, the outstanding Receivables of the Alcala Water System has accumulated to P3,464,393.25 as of December 31, 2018, due to the absence of collection policies and strategies, which is not in consonance with Section 123 of Presidential Decree 1445 and Section 154 of the Local Government Code. Hence, additional income that may augment the revenue of the LGU was not collected for the year. Further, a Job Order (JO), who is not properly bonded, was designated as a field collector, which is not in conformity with Item 7.2 of CSC-COA-DBM Joint Circular No.1, s. 2017 dated June 15, 2017 and Section 29 (A) of the Local Treasury Operations Manual. Thus, may expose the Agency to a potential risk of having no available funds for reimbursement in cases of possible loss and shortages.

   We recommended that the Management: (a) Require the Municipal Accountant to reconcile its records with the AMWS and make the necessary adjusting entry to reflect the correct balance of the Other Receivable account in the FS; (b) Ensure that the AMWS is guided with clear policies and strategies if any, that will be strictly implemented to enhance its collection system; (c) Require the concerned officials to intensify their collection efforts to consumers on their unsettled bills and develop control measures to ensure that quality water is provided to the end users; and (d) Ensure that the collecting function is performed by bonded regular employees.

4. The Local Disaster Risk Reduction Management Fund Investment Plan (LDRRMFIP) that shall incorporate the use of the unexpended balance of the previous LDRRMF charged to the Special Trust Fund was not prepared and the monthly utilization reports of Local Disaster Risk Reduction and Management Fund (LDRRMF) for CY 2018 were not prepared in detail, as prescribed in COA Circular No. 2012-002. Thus, the propriety of charges and the disaster risk reduction and management activities supporting the said funds could not be easily ascertained.

   We recommended the Management the following: (a) the MDRRMC to prepare the LDRRMFIP by adopting the prescribed format in the Annex A of the COA Circular 2012-002; (b) the MDRRMC to review and update annually the LDRRMFIP to include activities to be funded from the unexpended QRF and DRRMF-MOOE of the previous years, which were transferred to the Special Trust Fund; (c) the Municipal Accountant to prepare and certify

correct the monthly report on Sources and Utilization of DRRMF using the prescribed format in Annex B of the aforementioned Circular; and (d) the MDRRO to submit to the Auditor the report on or before the 15th day after the end of each month through the LDRRMC and Local Development Council (LDC).

5. Contracts for several bidded projects for CY 2018 were not submitted to the Office of the Auditor for auditorial review within five (5) working days from its perfection, which is not in consonance with Item 3.1.1 of COA Circular 2009-001.

   We recommended that the Management ensure submission of contracts within 5 days from the date of perfection to the Office of the Auditor for auditorial review in compliance with COA Circular No. 2009-001.

6. The accounts of the Municipality were not submitted within the period prescribed under COA Circular No. 2009-006, thereby causing the delay in the audit of the transactions.

   We recommended that the Municipal Accountant facilitate the submission of the complete accounts of the Agency within the prescribed period in compliance with COA Circular No. 2009-006. Moreover, the agency officials concerned should identify the reasons for the delayed submission of accounts and take necessary actions to address the same to ensure compliance with the provisions of COA Circular No. 2009-006.

E. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	P -	P -	P -	P -	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	1,600,000.00	-	282,576.14	1,317,423.86	18%
Current Years	-	-	-	-	-
Total	**1,600,000.00**	**-**	**282,576.14**	**1,317,423.86**	**18%**
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	**P -**	**P -**	**P -**	**P -**	-

The amount of P282,576.14 was settled thru payroll deductions from the salaries and other amounts due to the accountable officer as of December 31, 2018. The corresponding Notice of Settlement of Suspensions, Disallowances and Charges

shall be issued pending submission of the official receipts or proof of settlement made.

F. Status of Implementation of Prior Years' Audit Recommendations

Out of the 23 audit recommendations in the 2017 Annual Audit Report, seven (7) were implemented, six (6) were partially implemented and 10 were not implemented and reiterated in Part II of this Report.